

UBS AG

(UBS AG is incorporated with limited liability in Switzerland, and is a licensed bank regulated by, among others, the Swiss Financial Market Supervisory Authority and the Hong Kong Monetary Authority. UBS AG is a registered institution under the Securities and Futures Ordinance for Types 1, 4, 6, 7 and 9 regulated activities. UBS AG, London Branch is, in the United Kingdom, authorized by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority)
(acting through its London Branch)
as issuer

UBS Securities Asia Limited

(UBS Securities Asia Limited is incorporated with limited liability in Hong Kong and is a licensed corporation regulated by the Securities and Futures Commission for Types 1, 2 and 4 regulated activities)
as product arranger and agent

Final Term Sheet for
UBS Non-Capital Protected Unlisted Equity Linked Investments Linked
to a Basket of Securities with
Daily Call Feature and Daily Kick-in Feature
(Basket UBS-ELIs)
issued by UBS AG (acting through its London Branch)
under UBS Non-Capital Protected Unlisted Equity Linked Investments Programme

Series **L3034270**

19 January 2018

This term sheet constitutes the Term Sheet for the purposes of the Terms and Conditions of UBS Non-Capital Protected Unlisted Equity Linked Investments Linked to a Basket of Securities (the “**Terms and Conditions**”) as set out in Appendix A to the Product Booklet dated . Any additional terms specified in this Term Sheet shall, to the extent so specified or to the extent inconsistent with the Terms and Conditions, replace, modify, amend and/or supplement such Terms and Conditions.

The SFC takes no responsibility as to the contents of this Term Sheet. The SFC’s authorisation does not imply the SFC’s endorsement of the terms as set out in this Term Sheet.

In this Term Sheet, capitalised terms have the meanings given in “Appendix A - Terms and Conditions of UBS Non-Capital Protected Unlisted Equity Linked Investments Linked to a Basket of Securities” in the Product Booklet unless this Term Sheet specifies otherwise.

Series Number: **L3034270**

Basket: The basket of the Shares and/or Units of the Listed Entities shown in Schedule 1 below.

Schedule 1

Listed Entity	Stock Code	Underlying Currency	Initial Spot Price	Final Reference Price	Call Strike	Kick-in Price
CHINA LIFE INSURANCE CO LTD	2628.HK	HKD	HKD 25.75	HKD 25.7500(100.00% of the Initial Spot Price)	HKD 26.2650(102.00% of the Initial Spot Price)	HKD 18.0250(70.00% of the Initial Spot Price)
SINOPHARM GROUP CO LTD	1099.HK	HKD	HKD 33.85	HKD 33.8500(100.00% of the Initial Spot Price)	HKD 34.5270(102.00% of the Initial Spot Price)	HKD 23.6950(70.00% of the Initial Spot Price)
CHINA	0762.HK	HKD	HKD 11.40	HKD	HKD	HKD

UNICOM
HONG
KONG LTD

11.4000(100.00% of the Initial Spot Price) 11.6280(102.00% of the Initial Spot Price) 7.9800(70.00% of the Initial Spot Price)

Trade Date: 19 January 2018

Issue Date: 29 January 2018

Settlement Currency: HKD

Minimum Application Amount: HKD 100,000 (i.e., 10 ELI Units) and thereafter in increments of HKD 10,000

ELI Unit Value: HKD 10,000

Purchase Price Percentage: 100% of ELI Unit Value

Purchase Price: HKD 10,000.00 per ELI Unit

Initial Spot Price: See Schedule 1

Final Reference Price: See Schedule 1

Fixing Date: 31 December 2018

Settlement Date: Expected to be 4 January 2019

Potential Distribution Feature:

Accrual Barrier Price: N/A

Observation Period Start Date: See Schedule 2

Observation Period End Date: See Schedule 2

Distribution Rate: See Schedule 2

Distribution Date: See Schedule 2

Call Feature: Daily Call

Call Strike: See Schedule 1

Call Date: Each Scheduled Trading Day during the period from (and including) the Call Commencement Date to but excluding the Fixing Date, provided that if any date that would have been the Call Date is a Disrupted Day for any Linked Stock, the relevant Call Date for the affected Linked Stock shall be postponed in accordance with the Terms and Conditions.

Call Commencement Date: 28 February 2018

Call Settlement Date: A date that is no later than the third Business Day after the relevant Call Date in respect of which the Call Feature is triggered (or if the Call Date for any Linked Stock is postponed in accordance with the terms and conditions of our Basket UBS-ELIs, the Call Settlement Date will be a date that is no later than the third Business Day after the relevant last occurring Call Date in respect of all Linked Stocks).

Kick-in Feature: [Daily Kick-in](#)

Kick-in Commencement Date: [Trade Date](#)

Kick-in Price: See Schedule 1

Delivery Expenses: An expense to be charged for delivering the Worst Performing Stock as of the Fixing Date which includes buyer's stamp duty (if applicable, subject to the prevailing laws and regulations, being 0.1% of the value of the number of such Worst Performing Stock deliverable calculated at the Final Reference Price, (if the Underlying Currency of such Worst Performing Stock is RMB, converted into HKD at an exchange rate as determined by the Hong Kong Monetary Authority and currently published on the Exchange's website at http://www.hkex.com.hk/eng/market/sec_tradinfo/stampfx/stampfx.asp by 11:00a.m. or earlier on the fixing date)), transaction levies, registration charges and any other costs and expenses incurred in connection with such delivery.

Additional Business Center: [N/A](#)

Additional Taxation Jurisdiction: [N/A](#)

Applicable Terms and Conditions: The section headed "Terms and Conditions of UBS Non-Capital Protected Unlisted Equity Linked Investments Linked to a Basket of Securities" in Appendix A to the Product Booklet (pages 116 to 133) applies to this Series.

Governing Law: Hong Kong law

Distributor(s):	Name	Hotline
	Standard Chartered Bank (Hong Kong) Limited	2886 8868

Schedule 2:

Observation Period	Distribution Rate	Fixed Distribution Rate	Observation Period Start Date (inclusive)	Observation Period End Date (inclusive)	Scheduled Distribution Date
1	Fixed	0.6000%	30 January 2018	28 February 2018	5 March 2018
2	Fixed	0.6000% _x	1 March 2018	29 March 2018	6 April 2018
3	Fixed	0.6000% _x	3 April 2018	30 April 2018	4 May 2018
4	Fixed	0.6000% _x	2 May 2018	29 May 2018	1 June 2018
5	Fixed	0.6000% _x	30 May 2018	29 June 2018	5 July 2018
6	Fixed	0.6000% _x	3 July 2018	30 July 2018	2 August 2018
7	Fixed	0.6000% _x	31 July 2018	29 August 2018	3 September 2018
8	Fixed	0.6000% _x	30 August 2018	2 October 2018	5 October 2018

9	Fixed	0.6000% _{0x}	3 October 2018	29 October 2018	1 November 2018
10	Fixed	0.6000% _{0x}	30 October 2018	29 November 2018	4 December 2018
11	Fixed	0.6000% _{0x}	30 November 2018	31 December 2018	4 January 2019

^x If the Call Feature is triggered on a Call Date, the Potential Distribution Amount for the relevant Observation Period (in which the Call Feature is triggered) will be calculated in accordance with the following formula:

$$\text{ELI Unit Value} \times \text{the applicable Fixed Distribution Rate} \times \frac{n}{N}$$

where:

“n” is the number of Scheduled Trading Days (regardless of whether any such day is a Disrupted Day for any Linked Stock) during the period from (and including) the Observation Period Start Date of the relevant Observation Period up to (and including) the Call Date in respect of which the Call Feature is triggered. For the avoidance of doubt, if such originally scheduled Call Date is a Disrupted Day and the Call Feature is triggered on a Call Date as postponed, “n” is the number of Scheduled Trading Days during the period from (and including) the Observation Period Start Date of the relevant Observation Period up to (and including) the originally scheduled Call Date (before postponement) instead of the Call Date as postponed.

“N” is the total number of Scheduled Trading Days (regardless of whether any such day is a Disrupted Day for any Linked Stock) in the relevant Observation Period.

No further Potential Distribution Amount is payable following termination of our Basket UBS-ELIs upon the trigger of the Call Feature.

Post-sale cooling-off period

Not Applicable

Market making arrangements

On each market making day, UBS Securities Asia Limited as market agent will (i) make available (via the distributors) indicative bid prices (on a per ELI unit basis) during normal business hours; and (ii) provide (via the distributors) a firm bid price (on a per ELI unit basis) for your Basket UBS-ELIs upon your request, provided that your request for a firm bid price is submitted to your distributor before 3 p.m. on such market making day.

Market making day means every other Friday after the Issue Date up to the third Business Day before the Fixing Date, or if any such market making day is not a day which is both a Business Day and a Scheduled Trading Day, that market making day will be postponed to the next day which is both a Business Day and a Scheduled Trading Day. The minimum transfer amount under the market making arrangements is one ELI Unit.

Risk factors

Please refer to the section headed “Important Risk Warnings” provided in this Term Sheet, the section headed “Important Risk Warnings” in the Information Memorandum and the section headed “Risk Factors” in the Product Booklet for the risks applicable to our Basket UBS-ELIs.

Information relating to the Linked Stocks and the Listed Entities

All the Linked Stocks are listed on The Stock Exchange of Hong Kong Limited and are required by the Exchange to continuously disclose information that have a material impact on market activity in and the price of their securities. You can find information about the Listed Entities (including its published

audited consolidated financial statements and interim financial statements) on the Exchange's website: <http://www.hkex.com.hk>. You may obtain historic price information of the Listed Entities on the website of the Exchange at <http://www.hkex.com.hk/invest/isc.htm>.

Information included on the website of these third party websites referred to above in this Term Sheet does not form part of the Information Memorandum, the Financial Disclosure Document, the Product Booklet or this Term Sheet. We do not accept any responsibility for information on those websites.

Basket UBS-ELIs offering documents

The offer of this Series of Basket UBS-ELIs is made solely on the basis of the information contained in the Basket UBS-ELIs offering documents. Accordingly, you should exercise an appropriate degree of caution when assessing the value of other sources of information relating to us, our Basket UBS-ELIs or the Listed Entities. If you are in any doubt about any of the Basket UBS-ELIs offering documents, you should obtain independent professional advice.

The information contained in the Information Memorandum, the Financial Disclosure Document and the Product Booklet (taken together with, and as updated by, this Term Sheet) is accurate at the date of this Term Sheet. The Basket UBS-ELIs offering documents include particulars given in compliance with the Code for the purpose of giving information with regard to the issuer, the product arranger, the programme and the Basket UBS-ELIs. The issuer and product arranger collectively and individually accept full responsibility for the contents of, and the completeness and accuracy of the information contained in the Basket UBS-ELIs offering documents and confirm, having made all reasonable enquiries, that to the best of the knowledge and belief of the issuer and product arranger, there is no untrue or misleading statement, or other facts the omission of which would make any statement in the Basket UBS-ELIs offering documents untrue or misleading.

No material adverse change

Taking into account the nature of our Basket UBS-ELIs being offered and save as disclosed in the Information Memorandum, the Financial Disclosure Document and this Term Sheet, there has been no material adverse change in our financial or trading position since the date of our latest audited financial statements contained in the Financial Disclosure Document.

No litigation

Save as disclosed in the Information Memorandum, the Financial Disclosure Document and this Term Sheet, there are no litigation or arbitration proceedings against or affecting us, nor are we aware of any claims pending or, to our knowledge, threatened against us, which are material in the context of the issue of our Basket UBS-ELIs.

Ongoing disclosure obligations

As of the date of this Term Sheet, the issuer and the product arranger satisfy the eligibility requirements applicable to the issuers and product arrangers under the Code on Unlisted Structured Investment Products (the "Code") issued by the SFC respectively. The issuer and product arranger will keep the SFC and the distributors informed as soon as reasonably practicable if (a) the issuer ceases to meet any eligibility requirements applicable to issuers under the Code; (b) the product arranger ceases to meet any eligibility requirements applicable to product arrangers under the Code and (c) to the extent permitted by any applicable law, there are any changes in the financial condition or other circumstances of UBS AG which could reasonably be expected to have a material adverse effect on our ability to fulfil our commitment in connection with our Basket UBS-ELIs. Your distributor will in turn inform you. Please contact your distributor for further details.

Other information

The information in this Term Sheet is communicated by UBS AG and/or its affiliates ("UBS"). UBS may from time to time, as principal or agent, have positions in, or may buy or sell, or make a market in any securities, currencies, financial instruments or other assets underlying the transaction to which this Term

Sheet relates. UBS may provide investment banking and other services to and/or have officers who serve as directors of the companies referred to in this Term Sheet. UBS may pay or receive brokerage or retrocession fees in connection with this transaction. UBS' trading and/or hedging activities related to this transaction may have an impact on the prices of the linked stocks and may affect the likelihood that any relevant barrier is crossed. UBS has regulatorily required policies and procedures designed to minimise and manage the risks that officers and employees are influenced by any conflicting interest or duty and that confidential information is improperly disclosed or made available and have certain regulatorily required information barrier between our different divisions or units to ensure the transactions and/or dealings will be transacted at arm's length.

Structured transactions are complex and may involve a high risk of loss. Prior to entering into a transaction you should consult with your own legal, regulatory, tax, financial and accounting advisers to the extent you consider it necessary, and make your own investment, hedging and trading decisions (including decisions regarding the suitability of this transaction) based upon your own judgment and advice from those advisers you consider necessary. Save as otherwise expressly agreed in writing, UBS (as the issuer of the Basket UBS-ELIs) is not acting as your financial adviser or fiduciary in any transaction. This Term Sheet should not be treated as giving any investment advice.

UBS makes no representation or warranty relating to any information herein which is derived from independent sources. This Term Sheet should not be treated as giving any investment advice. This Term Sheet shall not be copied or reproduced without UBS' prior written permission.

The SFC has authorised our Basket UBS-ELIs under Section 104A(1) of the Securities and Futures Ordinance (Cap. 571, Laws of Hong Kong) ("SFO") and the issue of this Term Sheet based on the standard format set out in Appendix B to the Product Booklet as part of the Basket UBS-ELIs offering documents under Section 105(1) of the SFO. The SFC takes no responsibility for our Basket UBS-ELIs and the contents of this Term Sheet, makes no representation as to its accuracy or completeness and expressly disclaims any liability whatsoever for any loss howsoever arising from or in reliance upon the whole or any part of the contents of this Term Sheet. The SFC's authorisation does not imply its endorsement or recommendation of our Basket UBS-ELIs referred to in this Term Sheet, nor does it imply that the SFC guarantees the commercial merits of our Basket UBS-ELIs or their performance. The SFC's authorisation does not mean our Basket UBS-ELIs are suitable for all investors nor is it an endorsement of their suitability for any particular investor or class of investors. Interested persons should consider obtaining independent advice before investing in our Basket UBS-ELIs.